

Performance Review Policy

Guidelines for performance evaluation, appraisals, and career growth

Version:	v3.0	Effective Date:	January 1, 2024
Department:	Human Resources	Applies To:	All Employees

1. Purpose

The performance review process at Acme Technologies is designed to align individual goals with company objectives, recognize and reward high performance, identify development opportunities, and support career growth. Reviews are conducted fairly, transparently, and consistently across all departments.

2. Review Cycle

Review Type	Frequency	Timeline	Purpose
Probation Review	Once	End of 3rd month	Confirm or extend probation
Mid-Year Review	Bi-annual	July each year	Check-in, course correction
Annual Appraisal	Annual	January each year	Rating, increment, promotion
Continuous Feedback	Ongoing	Throughout year	Real-time coaching

3. Performance Rating Scale

Rating	Label	Description	Increment Range
5	Outstanding	Consistently exceeds all expectations, role model for peers	15% - 25%
4	Exceeds Expectations	Frequently exceeds expectations in key areas	10% - 15%
3	Meets Expectations	Consistently meets all role requirements	6% - 10%
2	Needs Improvement	Partially meets expectations, improvement required	0% - 5%
1	Unsatisfactory	Does not meet expectations, PIP will be initiated	0%

4. Goal Setting

At the start of each review cycle, employees and managers must jointly set SMART goals (Specific, Measurable, Achievable, Relevant, Time-bound).

- Each employee must have 4 to 6 goals for the review period
- Goals must be documented on the HR portal by January 31st each year
- Goals may be revised mid-year with mutual agreement during the mid-year review
- At least 70% of goals must be measurable with clear success criteria

- Goals must be aligned to team and department OKRs

5. Review Process

5.1 Self Assessment

All employees must complete a self-assessment form on the HR portal at least 1 week before their scheduled review meeting. The self-assessment should include progress on each goal, key achievements, challenges faced, skills developed, and areas for growth.

5.2 Manager Assessment

Managers will review the self-assessment and complete their evaluation independently before the review meeting. Managers must provide specific, evidence-based ratings and constructive comments for each goal.

5.3 360 Degree Feedback

For employees at Senior level and above (L4+), a 360-degree feedback process will be conducted. Feedback is collected from 3 to 5 peers, cross-functional collaborators, and direct reports (if applicable). This feedback informs but does not solely determine the final rating.

5.4 Calibration

All manager ratings go through a calibration session with department heads and HR to ensure consistency and fairness. The distribution of ratings must not exceed 15% in the Outstanding category and 20% in the Exceeds Expectations category.

6. Salary Increments

Salary increments are effective from April 1st each year. Increments are based on performance rating, market benchmarks, internal equity, and company financial performance.

Note: Employees who join after October 1st are not eligible for increment in the following April cycle. They will be eligible in the next cycle.

7. Promotions

- Promotions are considered during the annual review cycle
- Minimum 2 consecutive years at current level required for promotion consideration
- Rating of 4 (Exceeds Expectations) or above for at least 1 of last 2 years required
- Promotion recommendations must be approved by Department Head and CHRO
- Promotion increments are in addition to performance increments

8. Performance Improvement Plan (PIP)

Employees with a rating of 1 (Unsatisfactory) or 2 (Needs Improvement) for two consecutive cycles will be placed on a Performance Improvement Plan.

- PIP duration: 60 to 90 days

- PIP includes specific measurable improvement targets
- Weekly check-ins with manager and HR are mandatory during PIP
- Successful completion of PIP: employee returns to normal performance cycle
- Unsuccessful PIP: may result in role change, demotion, or separation

9. Appeals

Employees who disagree with their performance rating may submit an appeal within 10 business days of receiving their final rating. Appeals must be submitted in writing to HR at hr@acme.com with supporting evidence. HR will review and respond within 15 business days.